

The TechnoFunda Method

Vivek Mashrani's investing process, taken apart — how the four-cylinder model, the MACHINE framework, the tree analogy, core-and-satellite allocation, and the Shaktimaan indicator are supposed to fit together, and where the publicly documented trail runs out.

$$\text{Earnings growth} \times \text{P/E re-rating} = \text{multi-bagger}$$

Everything downstream in this system is an attempt to make this one identity operational: find the businesses where both terms are about to move in the same direction, get in when the chart agrees, size the position properly, and stay in until one of the terms breaks.

Background

Who is making the claim

Vivek Mashrani is an engineer-turned-finance professional based in Ahmedabad. He holds an MBA in Capital Markets from NMIMS Mumbai (2012) and is a CFA charterholder. He spent roughly two years in investment banking at UBS Verity in Hyderabad, then close to eight years at HSBC in Bengaluru and London, rising to AVP in investment banking and strategy roles.

He is founder, director and principal officer of Technofunda Ventures Pvt Ltd, a SEBI-registered research analyst firm (registration INH000012272). The firm publishes subscription portfolios on smallcase; the education arm runs under the TechnoFunda Investing brand, with programmes such as Networthon and a "Diamond" membership. He has written two books: *You Can Compound* on investing and *ACTION* on personal finance.

This matters for reading the rest of the report. The methodology is taught commercially. The high-level frameworks are public — in the book, on the blog, in podcasts and webinars. The precise parameters, thresholds and the proprietary indicators sit behind a paywall. Where that line falls is flagged throughout.

Philosophy

What "TechnoFunda" actually means here

The claim is not that technicals and fundamentals are two opinions to be averaged. It is that each one answers a question the other cannot.

Fundamentals answer *what to own* and *why the earnings should grow*. They are slow, backward-looking in their published form, and silent on timing. Technicals answer *when*, and more importantly act as an early-warning layer: price and volume are the only two primitives

every market transaction leaves behind, and every indicator anyone uses is a derivative of those two. So price-volume action carries information about what participants are actually doing, often before the news that explains it is public.

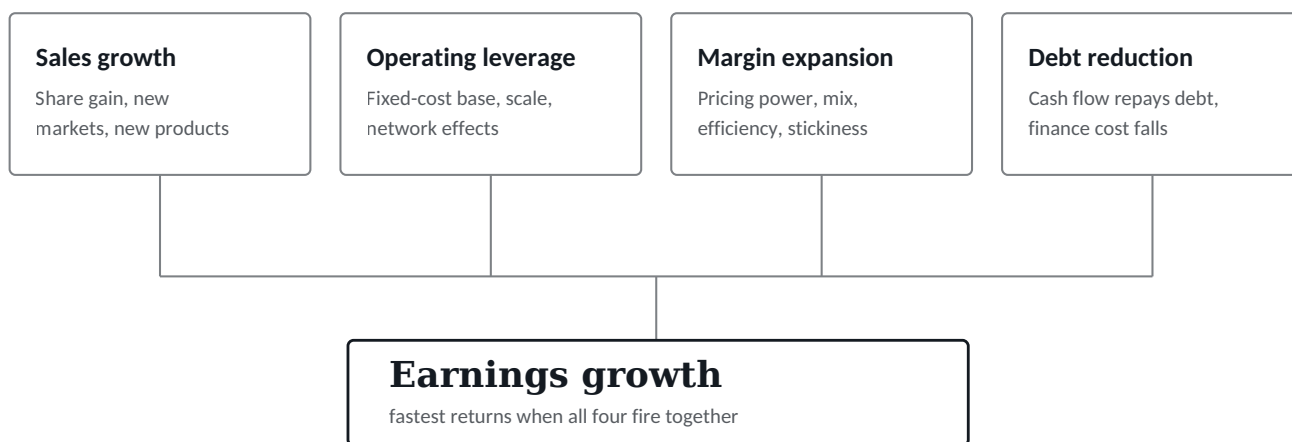
The stated sequence is therefore: use price-volume action to *find* candidates and to flag change, use fundamentals to *filter out the false signals* and to build enough conviction to hold, then use technicals again to decide hold-versus-sell. The research firm summarises its own philosophy as three inputs: price-volume action to spot emerging demand, fundamentals showing potential improvement, and sector rotation to identify fast-growing sectors.

Fundamental analysis compensates for what technical analysis cannot see, and vice versa. Neither is treated as complete on its own.

Earnings engine

The four-cylinder model

This is the most-cited piece of the system and the easiest to apply. If earnings growth is one of the two terms in the return equation, then you need to know what actually produces earnings growth. The answer is decomposed into four drivers — the four cylinders that fire the compounding machine.



Cylinder	Where it comes from	What to check in the filings
Sales growth	Share gain in existing markets, expansion into new geographies, launch of new products	Revenue CAGR over 3/5/10 years, volume vs price split, segment and geography disclosures, capex and capacity commentary
Operating leverage	A high fixed-cost base that scales; economies of scale, network effects, improving bargaining power	Whether EBITDA grows faster than revenue; fixed vs variable cost structure; incremental margin on incremental sales
Margin expansion	Lower input cost, better efficiency, pricing power, sticky products	Gross and operating margin trend, raw-material-to-sales ratio, whether price hikes stick through a cycle

Cylinder	Where it comes from	What to check in the filings
Debt reduction	Cash generation repaying borrowings, cutting the finance cost line	Debt/equity trend, interest coverage, interest as a share of EBIT, free cash flow after capex

Two things make this more than a checklist. First, the cylinders are multiplicative in effect, not additive — the sharpest re-ratings come when several fire at once, which is why a leveraged company that is simultaneously growing sales and deleveraging can produce violent earnings growth off a small revenue move. Second, the model is *forward-looking by construction*: you are asking which cylinders are about to fire, not which ones fired last year. That is where the technical layer earns its place, because the market often starts pricing the answer before the filings show it.

A caveat worth keeping: the same multiplicative arithmetic runs in reverse. A cyclical business at peak margins with peak operating leverage is running all four cylinders at maximum, and every one of them can turn. This is precisely why the framework is paired with an exit discipline rather than a buy-and-forget stance.

Business quality

The MACHINE framework

If the four cylinders explain *how* earnings grow, MACHINE is the screen for *which businesses* are likely to keep doing it. It is a seven-part mnemonic, and in *You Can Compound* each letter gets its own chapter.

Letter	Element	The question it forces
M	Megatrend	Is there a multi-year structural tailwind — demographic, regulatory, technological, import-substitution — behind this business, or is it fighting the current?
A	Action	Is something actually happening now: capex, a capacity commissioning, a regulatory change, a management action? A trend with no trigger can stay dormant for years.
C	Competitive advantage	Is there a durable moat — brand, switching costs, network effects, low-cost position, scale, patents — that resists mean reversion?
H	High quality (high RoCE)	Does the business earn a high return on capital employed, and can it reinvest at that rate? This is the parameter that converts growth into compounding rather than capital destruction.
I	Improvement	Are the operating metrics getting better — margins, working capital, return ratios, debt — rather than merely being high?
N	New factor	Is there something new: new product, new geography, new management, new segment, new capital allocation policy? The new factor is usually what the market has not yet modelled.
E	Execution	Does management actually deliver on stated earnings-growth triggers? Track record against guidance, and owner-operators with skin in the game.

MACHINE and the four cylinders are not alternatives — MACHINE is the qualitative wrapper and the cylinders are the quantitative engine inside it. Megatrend and New Factor tell you why sales growth is coming; High RoCE tells you whether that growth is worth anything; Execution tells you whether to believe the first two.

Classification

The tree analogy and the quality-growth grid

Businesses get sorted on a 2×2 built from two axes: return on capital employed, and earnings growth. The top-right quadrant — high RoCE plus high earnings growth — is what Mashrani calls the **banyan tree**: the deep-rooted, long-lived compounder that forms the backbone of a long-term portfolio. In the TechnoFunda construct this quadrant is the *core*, and the stated target is roughly 70% of equity allocation.

The tree vocabulary runs through the rest of his writing as a set of mental models rather than a rigid taxonomy:

- **Banyan tree** — high return on capital, high growth, long runway. Bought to be held through cycles; the compounding happens inside the business, so most of the return comes from business performance rather than from you trading it.
- **Bodhi tree** — the permanence idea: businesses built around product and customer obsession rather than near-term profit, whose DNA lets them survive disruption for decades.
- **Bamboo** — the dormant-then-explosive pattern, discussed in detail below. Explicitly framed as the satellite play, not the core.

The practical use of the grid is negative as much as positive. High growth with low RoCE is growth bought with shareholder capital. High RoCE with no growth is a cash cow that will not re-rate. Low on both is what his community calls *kachra* stock, and the loss-aversion chapter of the book is about why investors keep holding those instead of the winners.

Satellite thesis

Bamboo investing

The Chinese bamboo is watered for four years with nothing visible happening, then grows roughly ninety feet in about six weeks. The investing analogy: a stock can sit flat and boring for years while the business quietly improves, then re-rate violently over months. The examples he uses are Vinati Organics, Eicher Motors and Avanti Feeds — all dormant for long stretches, then multi-baggers in short order.

His stated triggers for that inflection:

- **Sector or country re-rating** — the P/E multiple expands in anticipation of earnings, without earnings having changed yet. His examples: the broad Indian re-rating after the 2014 election, PSU oil companies after fuel-price deregulation, specialty chemicals and graphite electrodes after Chinese capacity shutdowns.

- **A moat being widened** — R&D, brand-building, distribution, subsidised customer acquisition. These depress reported earnings today while raising earnings *power*. Reported profit and earnings power can move in opposite directions, and the framework explicitly prioritises the latter.
- **Efficient capital allocation** — an asset sale, a restructuring, a change in how cash is deployed.
- **A liquidity or disclosure change** — a QIP, a move from the SME platform to the main board, institutional coverage beginning. Suddenly the stock falls inside mandates it was previously excluded from.
- **Structural turnaround** — debt repaid, management changed, regulation changed, industry consolidated, input costs structurally lower.

The method for finding these is the price-volume screen: a big-range consolidation breakout, ideally with a fundamental confirmation arriving shortly after. His worked example is HEG in 2017 — a price-volume breakout around ₹250-300, followed by news of competitor capacity closing, followed by roughly an 8x move in under twelve months. He is explicit that these are frequently cyclical and that an exit strategy is mandatory, which is the honest part of the framing.

Read the bamboo examples as illustrations of a pattern, not as evidence of a hit rate. They are selected after the fact from the cases that worked. The same breakout-plus-improving-fundamentals setup produces failures that do not get written up, and nothing in the public material quantifies how often the pattern fails.

Allocation

Portfolio management: core, satellite and the buy-add-sell loop

The core/satellite split

The portfolio is deliberately two-speed. The **core** — around 70% — holds banyan-tree businesses selected through MACHINE, meant to be held for years and added to on strength. The **satellite** holds the faster, more opportunistic ideas: bamboo setups, sector rotations, cyclical turnarounds. Satellite positions carry tighter exit discipline because their thesis is event- or cycle-dependent rather than structural.

This split is the load-bearing risk control in the system. It lets a single framework accommodate both "sit tight for a decade" and "this is a two-year cyclical trade" without the investor having to hold two contradictory beliefs about the same position.

Number of positions and concentration

He argues against both extremes: a portfolio of three stocks is a bet, a portfolio of forty is an index with higher costs. The reasoning leans on the Pareto principle — a small number of positions will produce the bulk of the return, so the portfolio must be concentrated enough that the winners can move the needle, and diversified enough that being wrong about one is

survivable. He invokes the Rakesh Jhunjhunwala–Titan case as the archetype of a single position carrying a portfolio, and the Rule of 72 to frame what a 25% CAGR actually compounds into.

Tranching and pyramiding

Positions are built in tranches rather than in one shot. The starting tranche is a "foot in the door" — small, enough to force you to track the position properly. Subsequent tranches are added *as the thesis is confirmed*, both by results and by price behaviour. This is averaging up, and he is direct about why: the alternative, averaging down into losers while trimming winners, is Peter Lynch's watering-the-weeds-and-pulling-the-flowers error.

The consequence is that allocation ends up being an *output* of the process rather than an input. Winners organically grow into the largest weights because they earned additional tranches; losers stay small because they never triggered a second buy. A free SIP planner on his site includes pyramiding allocation tables and dynamic stock-allocation sheets for exactly this.

Riding winners

An entire chapter of the book is devoted to this, and it is treated as the single biggest source of return leakage for retail investors. The behavioural argument: investors are conditioned to measure a stock against quarterly price performance rather than business performance, so they exit a compounder after a 40% gain and miss the 10x. The prescription is "boredom arbitrage" — think in years, ignore activity, and hold while the original thesis remains intact.

The tension to be aware of: "ride winners and sit tight" and "exit on technical breakdown" are in permanent conflict, and the framework resolves it by asking which portfolio sleeve the position is in. Core positions get patience and are exited on thesis break. Satellite positions get the technical stop. If you apply the wrong rule to the wrong sleeve you get the worst of both — sold compounders and held cyclicals.

Entry

Stage analysis and the entry process

Timing is governed by stage analysis, a framework originating with Stan Weinstein that classifies any chart into one of four phases relative to a long-term moving average (classically the 30-week on weekly charts). TechnoFunda uses it as the entry filter on top of the fundamental work.

Stage 1 — Basing

Sideways accumulation. The long moving average flattens after a downtrend, volume dries up, relative strength stops deteriorating. Watch, don't buy.

Stage 2 — Advancing

Breakout above the base on expanding volume, price above a rising long moving average, relative strength leading the index. This is the buy zone and where adds happen on pullbacks.

Stage 3 — Topping

The advance stalls, the moving average flattens, price whipsaws around it. Risk shifts from growth to defence; trim, tighten, stop adding.

Stage 4 — Declining

Price below a falling moving average, lower highs and lower lows, rallies sold. No reason to hold long. Wait for a new Stage 1 base.

The critical discipline, and the one most often skipped: price being above a moving average is not Stage 2. Stage 2 requires structure — where the stock came from, whether a base was completed, whether resistance was cleared, whether volume confirmed, whether the average is *rising* and not merely being exceeded.

The seven-step funnel

Mashrani has published the actual sequence he runs, which is the clearest single statement of how the pieces are ordered:

- 1 **Price-volume early warning**
A first-level screen on raw price and volume to flag that something is changing, before any indicator or fundamental view is applied.
- 2 **Technical indicator filter**
Second-level filtering on technical structure — stage, trend, breakout quality.
- 3 **Fundamental screening**
Third-level quantitative filter to cut the survivors down further.
- 4 **Fundamental study and research**
The actual work: business model, MACHINE, four cylinders, management, moat.
- 5 **Position sizing based on risk management**
Only after conviction is established is size decided — never before.
- 6 **Exit signals partly from the early-warning layer**
The same price-volume screen that found the stock is reused to flag deterioration.
- 7 **Final exit on technicals plus fundamental news**
Confirmation from both sides before the position is closed.

He builds the first-level screens from bhav copy time-series data rather than off-the-shelf indicators, comparing price and volume against their own trailing averages — for example, flagging a day where price rises more than about 4% above the recent average, with a parallel condition on volume, mapped to sector and to 52-week-high proximity. The screen families he names are: breakouts from large consolidation ranges (bamboo), breakouts to new highs, volume shakeouts, and sectoral trends.

Exit

Selling, rebalancing and risk

Exit is where most of the proprietary detail sits, so the public picture is coarser. What is consistently stated:

- **No price targets and no prediction.** The system is reactive — stage changes and thesis changes trigger action, forecasts do not.
- **Two independent exit reasons.** A technical reason (stage transition from 2 to 3 to 4, breakdown through the long moving average, distribution volume) and a fundamental reason (a cylinder stalling, a broken execution record, a moat eroding, the megatrend ending). The early-warning price-volume layer usually fires first; the fundamental confirmation follows.
- **Exit in tranches, like entry.** Trimming on Stage 3 behaviour rather than a single all-or-nothing sell.
- **Cyclicals must have a pre-defined exit.** He is explicit that bamboo-type positions in cyclical sectors are not hold-forever positions.
- **Journalling and post-mortems.** The community runs "winner audit" exercises — reviewing what actually drove the winners and losers — and the book devotes a chapter to vicarious learning from others' mistakes.
- **No leverage.** A recurring point in his public talks: leverage converts a survivable drawdown into a terminal one.

Tooling

Shaktimaan and the rest of the toolkit

Shaktimaan is Mashrani's proprietary indicator, and it is the piece with the biggest gap between how often it is mentioned and how much is publicly documented. What can be established from public sources:

- It is a price-action indicator used alongside stage analysis, primarily to give conviction on entries and to signal exits from underperforming or deteriorating positions.
- It is described by its users and in promotional material as time-based as well as price-based — the framing is about how long a stock has been behaving a certain way, not only where the price is.
- It is presented as asset-class agnostic; community members report using it on equities and on commodities such as crude.
- Access is through the TechnoFunda platform under the Diamond membership, with a dedicated orientation module. It is not published as an open TradingView script, and its construction is not disclosed.

Treat the internals as unknown. Third-party "Shaktimaan strategy" scripts and AI prompt packs exist online, but none of them are the original and none can be verified against it. No public backtest, parameter set, or out-of-sample study of the indicator appears to have been published. If you want to evaluate it rather than take it on faith, that evaluation is not possible from outside the paid product — which is itself a material fact about the system.

The surrounding platform

Tool	Publicly described purpose
Shaktimaan	Proprietary price-action indicator for entry conviction and exit signalling
Ridewinners	Tracking and ranking platform for holdings and watchlist
Nakshatra	Community-referenced screening/analysis platform
Dhruva, ChanakyaOS	Additional member platforms referenced in Diamond-tier materials
Winner Audit	Post-mortem exercise on what actually drove returns
Free tools on his site	SIP planner with pyramiding allocation tables, an advanced screening spreadsheet with DuPont breakdown, and a company-analyser prompt pack for LLMs
smallcase portfolios	Subscription portfolios published by Technofunda Ventures under SEBI RA registration INH000012272

Synthesis

How the pieces actually chain together

Stripped of branding, the system is a single funnel with a feedback loop:

- 1 Universe → candidates**
Price-volume screens on the whole market surface stocks where participant behaviour is changing. Sector analysis identifies where the rotation is.
- 2 Candidates → businesses worth owning**
MACHINE qualifies the business; the four-cylinder model quantifies which earnings drivers are about to fire; the RoCE-versus-growth grid decides whether it is a core (banyan) or satellite (bamboo) idea.
- 3 Businesses → timed entries**
Stage analysis and the proprietary indicators decide whether now is the moment. Stage 1 means wait; Stage 2 means act.
- 4 Entries → positions**
First tranche small. Adds on confirmation from both results and price. Weights become an output of how many times the thesis was confirmed.
- 5 Positions → outcomes**
Ride winners while the thesis holds. Trim on Stage 3. Exit on thesis break or Stage 4. Journal the result and audit the winners.

Read that way, the individual frameworks are less novel than the packaging suggests — stage analysis is Weinstein, the earnings decomposition is standard DuPont-adjacent analysis, the 100-bagger criteria are Christopher Mayer and Thomas Phelps, the moat vocabulary is Dorsey and Mauboussin, and the core/satellite structure is textbook. Mashrani cites all of these

openly; he is not claiming to have invented the parts. The contribution is integration and teachability: a retail investor can actually hold this whole system in their head, which is not true of most of the source material.

Appraisal

What holds up, and what to watch

Genuine strengths

- The core insight — that fundamentals and technicals answer different questions and neither is sufficient — is sound and under-practised.
- The four-cylinder decomposition is a real analytical tool. It transfers cleanly to any market and forces you to name the mechanism behind a growth forecast rather than extrapolating a line.
- Averaging up rather than down, and letting position size be an output of confirmation, is a structurally sound antidote to a well-documented behavioural failure.
- The no-prediction, no-target, no-leverage stance is conservative in the right places.
- Core/satellite gives the framework an honest answer to "how long should I hold this" that depends on the type of idea rather than on mood.

Where to apply scepticism

- **The evidence is testimonial.** The overwhelming bulk of publicly available material about results is customer reviews and worked examples selected after the fact. There is no published, independently verified, risk-adjusted long-run track record for the methodology as a whole.
- **The differentiating components are closed.** Shaktimaan, and the specific thresholds that turn the frameworks into rules, are the paid part. Everything you can verify is the part that was already in the public literature; everything proprietary is the part you cannot verify.
- **Survivorship runs through the examples.** Vinati, Eicher, Avanti, HEG — all taught as illustrations of a pattern, all selected because they worked. The interesting number, which nobody publishes, is how many stocks passed the same screen and did not.
- **The business model shapes the incentives.** This is education-plus-advisory sold by subscription. That is legitimate and SEBI-registered, but it means volume of teaching is a revenue driver in a way that the accuracy of any single call is not.
- **The 2020-2024 Indian small-and-mid-cap regime was extraordinarily kind** to breakout-plus-improving-fundamentals strategies. Much of the community's reported experience was formed inside that regime. Momentum-and-stage systems behave very differently in prolonged range-bound or sharply mean-reverting markets, and the framework's own Stage 3/4 logic is what is supposed to handle that — but it has had comparatively little stress-testing in public.
- **Execution load is higher than it looks.** Weekly stage review, quarterly result tracking, tranche decisions and journalling across even fifteen positions is real recurring work. The system's discipline is its edge, and the discipline is the part that decays first.

If you want to test it yourself

The publicly documented parts are reproducible without any subscription. The price-volume screens can be rebuilt from NSE bhav copy data; the fundamental screens run on Screener.in; stage analysis is well documented in Weinstein's own book; the four-cylinder decomposition is a spreadsheet exercise on any company's last ten years. Build that, run it forward on paper for several quarters across a full market swing, and you will have something the testimonials cannot give you: your own hit rate.

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 - Free tools — SIP planner with pyramiding tables, screening spreadsheet with DuPont breakdown · vivekmashrani.com/tools
 - Community platform references (Shaktimaan, Ridewinners, Nakshatra, Dhruva, ChanakyaOS, Networthon, stage analysis and buy-add-sell sessions) — aggregated from public participant reviews on Trustpilot and the TechnoFunda school portal
 - Stage analysis background — Stan Weinstein's four-stage framework, 30-week moving average, volume and relative-strength confirmation (general technical-analysis literature)
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Where the methodology's details are proprietary or sit behind a paid membership, that is stated explicitly rather than filled in by inference. Any framework description that goes beyond the cited sources should be verified against the original book or course material before you rely on it.